Meaning

The World Trade Organisation (WTO) was estabilished on 1st January 1995. The GATT was renamed as WTO with some changes. WTO has 164 member countries as on 29th July 2016 . India is one of the three founder members. The ministerial conference consisting of the representatives of all the member countries is the highest decision-making authority of WTO. It meets almost once in every three years. It is empowered to take decisions on all vital matters under the multilateral trade agreements. The day-today work of WTO has been entrusted to the General Council. WTO is located at Geneva (Switzerland)

Objectives of WTO

The objectives of WTO include the following.

1. Improving the standard of living of people in member countries
2. Making optimum utilization of world's resources for sustainable development of member countries.
3. Promoting an integrated more viable and durable trading system in the sphere of international business
4. Expansion of trade in goods and services
5. Ensuring full employment and large steady growth volume of real income and effective demand
6. Protecting the environment

Functions/Role of WTO

WTO performs the following functions

1. It is a forum for negotiation and formalization of trade agreement among the member countries.
2. It settles disputes and grievances relating to trade among the member countries.
3. It frames commonly acceptable code of conduct in order to reduce trade barriers.
4. It holds consultations with IMF and World Bank(IBRD) and its affiliates to bring about a greater understanding and co-operation in global economic policy making.
5. It supervises the operations of agreement relating to General Agreement on Tariffs and Trade(GATT) and Trade-Related Intellectual Properties Rights (TRIPS)
6. It regulates trade between participating countries.

Benefits of WTO

Some of the major benefits of WTO are as follows.

1. WTO is promoting international peace and creating a conducive environment for conducting international trade
2. It settles the trade disputes amicably among the member countries.
3. It promotes the standard of living of people by increasing their income level from free trades
4. WTO has removed quantitative restrictions and non-tariff barriers. It has facilitated free flow of foreign trade among the member countries. The countries can impose import restrictions only to correct balance of payments difficulties and not otherwise.
5. It stimulates economic growth of developing countries by providing them with much needed capital and giving

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